

## *Indonesia: New finance head to bring continuity*

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Indonesia's new finance minister is likely to offer broad fiscal policy continuity, and expected to maintain fiscal discipline while supporting Prabowo|||||||

Quick take

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Indonesia: New finance minister offers broad fiscal continuity

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Short-term trajectory:

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What Happened

President Prabowo Subianto today replaced Finance Minister Purbaya Yudhi Sadewa with Vice Finance Minister Suhasil Nazara.

Our Take

Purbaya's position had been vulnerable for some time. Indonesia has been under sustained financial market pressure for months, while the oil price spike has added to the government's subsidy bills, forcing cuts to flagship programs. Scrutiny of Purbaya's management of the Ministry of Finance has been growing after disruptive reshuffling of officials; there were also tensions with the customs agency, which nominally sits under the Ministry of Finance and is headed by a close ally of the president. Purbaya also clashed with the previous governor of Bank Indonesia (BI), Perry Warjiyo, who "stepped down" in July. Meanwhile, cuts to sub-national governments have resulted in backlash and the central government having to step in to pay local teachers—this was not instigated by Purbaya but he is taking some blame.

Purbaya's departure may be a culmination of the above factors. The easing of pressure on the rupiah recently may have given the president a less risky chance to make the switch.

Suhasil is a credible technocrat. He has served as vice finance minister since 2019 (appointed by former president Joko Widodo) and was the right-hand man of highly regarded former finance minister Sri Mulyani Indrawati. Suhasil is less likely to shoot from the hip than Purbaya was and will probably be more willing to engage with international partners and investors.

As with Destry Damayanti, who replaced Perry as BI governor, Prabowo has opted for a proven technocrat from within the organization. This will provide modest reassurance to investors, although concerns about institutional erosion will linger.

Broad fiscal policy continuity is likely. Suhasil has been closely involved in developing the 2027 budget and publicly defended the government's 2.4%-of-GDP deficit target as necessary to maintain fiscal

health. Prabowo has also emphasized fiscal discipline and said the government would seek to reduce the deficit further (which may be challenging), making a material loosening of the fiscal stance unlikely following the reshuffle. The 3%-of-GDP deficit limit will thus likely remain in place.

The key challenge for Suahasil will be balancing Prabowo's growth ambitions with the government's commitment to fiscal discipline. He will need to improve spending efficiency while increasing government revenue, particularly as oil prices remain elevated and other external pressures could complicate the fiscal outlook. His ability to reassure markets that the government can pull off this balancing act will be critical to maintaining investor confidence.

One watchpoint will be whether Suahasil continues Purbaya's push to inject government funds into banks to boost lending. This created friction with BI, as the finance ministry's liquidity measures sometimes conflicted with the central bank's monetary operations and efforts to manage the rupiah.

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